

08 Bond and money markets

10 primary questions | Oldest to newest

2026 objectives: 2.3.1-2.3.2

5 related questions are filed elsewhere in this volume. Find them by selecting this chapter and enabling related topics in [index.html](#).

Click a question below to begin.

CA1-P1 April 2005 Q5	12 marks
CA1-P1 September 2005 Q1	4 marks
CA1-P1 September 2005 Q5	13 marks
CA1-P1 April 2006 Q7	18 marks
CA1-P1 September 2006 Q6	21 marks
CA1-P1 April 2009 Q2	10 marks
CA1-P1 April 2012 Q3	11 marks
CA1-P1 April 2015 Q5	20 marks
CA1-P1 September 2016 Q6	18 marks
CP1-P1 September 2023 Q2	7 marks

CA1-P1 | April 2005 | Q5

Current topic | 12 marks total | Original PDF p2

Related: Ch 13.

- 5**
- (i) Discuss the features of corporate debt that would make it a suitable investment for a scheme providing benefits on retirement. [5]
 - (ii) List the factors that influence the difference in yield between government and corporate bonds. [3]
 - (iii) Describe the possible features of a new corporate bond issue that would reduce the risks associated with it, and thus might make the bond more attractive to an investor. [4]
- [Total 12]

CA1-P1 | September 2005 | Q1

Current topic | 4 marks total | Original PDF p2

Related: Ch 11.

- 1** Describe the circumstances under which money market investments may be temporarily unattractive to investors. [4]

CA1-P1 | September 2005 | Q5

Current topic | 13 marks total | Original PDF p2

Related: Ch 13.

- 5**
- (i) State how the expectations theory explains the shape of the yield curve. [2]
 - (ii) Describe three other theories that explain deviations from the expected shape of the yield curve. [6]
 - (iii) Explain why a corporate bond might have a significantly higher yield than a government bond of the same duration. [5]
- [Total 13]

CA1-P1 | April 2006 | Q7

Current topic | 18 marks total | Original PDF p3

Related: Ch 11, Ch 22.

- 7**
- (i) Define the following terms:
- (a) Arbitrage
 - (b) Spot interest rate [2]
- (ii) Outline the following theories used to explain the shape of the yield curve:
- (a) Expectations theory
 - (b) Liquidity preference theory
 - (c) Market segmentation theory [5]
- A provider offers a ten year single premium investment product where the investment return (before charges) credited at the end of each year is the higher of a fixed rate and the one-year zero-coupon bond yield at that time. The yield curve at the time the guarantee is priced is upward sloping.
- (iii) Discuss the implications of using this yield curve to predict the anticipated cost of the guaranteed investment return, using the theories in part (ii). [11]
- [Total 18]

CA1-P1 | September 2006 | Q6

[Current topic](#) | [21 marks total](#) | [Original PDF p3](#)

Related: Ch 26.

- 6**
- (i) List the principal issuers of bonds. [2]
 - (ii) List the features of an individual corporate bond that affect its price. [6]
 - (iii) Describe the risks that need to be considered in corporate bond investment. [13]
- [Total 21]

CA1-P1 | April 2009 | Q2

[Current topic](#) | [10 marks total](#) | [Original PDF p2](#)

Related: Ch 14.

- 2** A well-funded benefits scheme is investigating the possibility of providing a loan to a manufacturing company. Interest will be paid on the loan at a fixed rate over ten years, with full repayment at the end of the term.

Outline the factors that the scheme should take into consideration when determining whether to make this loan. [10]

CA1-P1 | April 2012 | Q3

Current topic | 11 marks total | Original PDF p3

Examiner report and original paper: use the links for this question in index.html.

- 3** (i) Discuss the characteristics which will influence the credit rating of a new bond issue. [5]

An investor is evaluating fixed interest bonds to add to their bond portfolio. The bonds being evaluated are:

- a bond issued by the national government.
 - a corporate bond issued in the local currency by a large multi-national firm, which has extensive overseas operations.
 - a corporate bond issued by a small firm, which only has local operations.
- (ii) Explain why the redemption yield on the bond issued by the small firm may be higher than the redemption yields on the other two bonds. [3]
- (iii) Outline the main factors which may influence the investor's decision as to which of the three bonds above to invest in. [3]
- [Total 11]

CA1-P1 | April 2015 | Q5

Current topic | 20 marks total | Original PDF p3

Related: Ch 11, Ch 13.

- 5** Explain the principal influences on:
- (i) Short term interest rates. [7]
 - (ii) The relative levels of government and corporate bonds yields. [13]
- [Total 20]

CA1-P1 | September 2016 | Q6

Current topic | 18 marks total | Original PDF p4

Related: Ch 11.

- 6** (i) Explain the impact that the following theories should have on the shape of a yield curve which, plots the gross redemption yields on conventional government bonds by term:
- (a) expectations theory
 - (b) liquidity preference theory
 - (c) inflation risk premium theory
 - (d) market segmentation theory

[8]

The following gross redemption yields (GRY) are currently available on bonds in a particular market:

<i>Bond Type</i>	<i>Term to Maturity</i>	<i>GRY (% p.a.)</i>
Conventional Domestic Government	2 years	5.0
Conventional Domestic Government	8 years	3.0
Conventional Domestic Government	15 years	3.5
Index-linked Domestic Government	15 years	2.0
Conventional Domestic Corporate	8 years	3.5
Conventional Foreign Government	2 years	8.0

All the above yields are quoted in nominal terms except for that on the index-linked bond which, is quoted real terms. All the bonds are denominated in the domestic currency. None of the bonds are convertible or have attaching options.

- (ii) Discuss the factors that could have given rise to the pattern of yields shown in the table. You do not need to consider the effects of taxation, accrued interest or different coupon rates.

[10]

[Total 18]

CP1-P1 | September 2023 | Q2

Current topic | 7 marks total | Original PDF p2

Examiner report and original paper: use the links for this question in [index.html](#).

- 2** A privately held investment company is considering various acquisitions across numerous countries and intends to issue bonds in order to finance them.
- (i) Suggest reasons why an investor may be interested in buying these bonds. [2]
 - (ii) Outline the risks that an investor would be exposed to if they invested in these bonds. [2]
 - (iii) Discuss the advantages and disadvantages to the investor of the different types of bond the company could issue. [3]
- [Total 7]